



Kenya Certificate of Secondary Education (KCSE)

565/2

BUSINESS STUDIES

PAPER 2

MARKING SCHEME

1. a) Advantages of automatic vending machines (ATM) to a trader.

- i) Enable trader to sell commodities 24 hours a day
- ii) Offer goods or services faster
- iii) Reduce fraud among employees
- iv) Cheap to operate ie no employee required
- v) Business increase its sales since customers are served any time.
- vi) They economise on space

(2 x 5 = 10 mks)

NB Mention 1, Explanation 1

b) Differences between monopoly and perfect completion market.

Monopoly	Perfect completion
1) Goods have no close substitutions	1) Goods are homogenous
2) There are barriers to entry	2) No barriers to entry
3) Firms are price markers	3) Firms are price takers
4) Single seller in the market	4) many sellers in the market
5) Firm is the industry	5) The are many firms that make industry

(2 x 5 = 10 mks)

2 a) Roles of stock exchange in the Kenyan economy.

- i) Facilitates buying and selling of securities
- ii) Measures a country's economic performance
- iii) Assists in determining prices of securities
- iv) Creates employment
- v) Sources of revenue to the government
- vi) Safe guards investors interest
- vii) Assists companies to raise capital
- viii) Provide useful information to investors
- ix) Promotes the culture of savings/ assist in accumulation of capital.

(2 x 5 = 10 mks)

b) Causes balance of payment deficit.

- i) Fall/ decrease in volume of exports
- ii) Decrease in value of country's exports relative to those of imports
- iii) Increase in value of import
- iv) Restriction by trading partners aimed at reducing imports
- v) Less capital inflow compared to out flow
- vi) Over valuation of domestic currency, hence discouraging exportation
- vii) Devaluation of currency by trading partners hence encouraging exports and discouraging import

3. A) Structural changes that a country may experience when undergoing development

- i) Shifting from agricultural to manufacturing sector
- ii) Reduction in illiteracy
- iii) Increase in skilled manpower/ personal
- iv) Improvement in health facilities



- v) Increase in technology and enterprenuaral ability
- vi) Improvement of institutions that handle new method of productive economic activities.

(2 x 5 = 10 mks)

B) a) **UMOJA TRADERS**

Profit And Loss Accounts for the year ended 31st Dec 2009

Discount allowed	142,000	Gross Profit	520,600
Lighting	25,200	Rent received	120,000
Interest on loan	1,200	Net loss c/d	61,930
General expenses	102,100		
Repairs on buildings	60,000		
Repairs on furniture	72,030		
Repairs on motor vehicle	<u>300,000</u>		
	<u>702,530</u>		<u>702,530</u>

b)

UMOJA TRADERS
Balance sheet as at 31st Dec 2009

Building	560,000	Capital	1,400,000
Furniture	408,170	Less: Loss	61,930
Motor vehicle	900,000	Bank loan	452,500
Stock	72,500	Current liabilities	
Debtors	<u>96,900</u>	Creditors	<u>247,000</u>
	<u>2,037,570</u>		<u>2,037,570</u>

4. a) Advantages of M-Banking to an economy.

- i) There is top up of air time automatically
- ii) Request for mini statement is possible
- iii) Allows check of account balance
- iv) One can pay utility bills without going to bank
- v) Transfer of money/ credit from bank to mobile and vice versa.
- vi) One can send money to another person.

(2 x 5 = 10 mks)

b) Five ways in which commercial attaches may boast export trade.

- i) Explore and identify new markets for exports
- ii) Publishes and advertise their countries exports in journal
- iii) Assist sales mission from mother country in organizing educational tour
- iv) Organize visits to trade fairs and exhibitions for trades from their country
- v) Make detailed reports on commercial activities which help to improve exports from their countries
- vi) Select buyers, agents and distributors for home countries exports
- vii) Inform traders from their countries on required standard for exports
- viii) Research and analyses market
- ix) Attend meetings/ seminars and workshops on trade partners
- x) Keep data of new markets.



5. a) Causes of demand pull inflation.
- Increase in government expenditure eg increasing more money in hands of people which causes increase in aggregate demand for goods and service
 - Credit creation by commercial by lowering lending rates(bank rates)
 - Increase in income through export earning and wages
 - General shortages of goods and service where demand is more than supply.
 - Increase in consumer expenditure/ disposable income
- b) Procedure for claiming compensation by the insured.
- Notifying the insure
 - Filling a claim form
 - Investigation of the claim
 - Preparation of the assessment report
 - Payment of the claim.
- (2 x 5 = 10 mks)

6. a) Advantages of telegram over telephone communication.

Telegram	Telephone
1) Retained for future reference	1) Not retained for future reference
2) Suitable for confidential matter	2) Not suitable for confidential matter
3) Allow for inclusion of fine details	3) Does not allow for of fine details
4) It is not prone to distortion	4) Prone to distortion
5) Can be used as evidence	5) Cannot be used as evidence
6) Can be addressed to many people	6) Cannot be addressed to many people

(2 x 6 = 12 mks)

Collect comparison a must.

- b) i) Gross profit = $\frac{20}{100} \times 1,840,000$
= Sh. 368,000.
- ii) Cost of sales = sales – Gross profit
= Sh. (1,840,000 – 368,000)
= Sh. 1,472,000.
- iii) Purchases = Cost of sales + closing stock – opening stock
= Sh (1,472,000 + 460,000 – 300,000)
= Sh. 1,632,000.
- iv) Expenses = $\frac{16}{100} \times 1,840,000$
= Sh. 294,400.
- v) Net profit = Gross profit – Expenses
= Sh. (368,000 - 294,400)
= Sh. 73,600.